
| **MARKETS** BROKERAGE FIRMS |

A NEW PLATTER

TRADITIONAL FULL-SERVICE BROKERS ARE QUICKLY DIVERSIFYING TO **OFFER A BOUQUET OF FINANCIAL SERVICES** TO ADDRESS THE DECLINE IN BROKING INCOME AND NEW PLAYERS AND INVESTORS ENTERING THE MARKET

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HE PAST FEW years have seen the Indian stock market attract new retail investors in hordes. For instance, nearly 2 million accounts were added just in the month of November 2022, as per data from markets regulator, the Securities and Exchange Board of India (Sebi). While that is music to the ears of brokerages, it is difficult to satisfy new-age investors, many of who want a single app for all their financial needs.

Brokerages, big and small, have cottoned on to this trend. While newer brokerages entice new investors with zero brokerage fees, the traditional, full-service brokerages—which offer trading facilities along with other value-added services like research and distribution—are aiming to become one-stop financial services platforms wherein one can not only trade in the markets but also get loans, invest in mutual funds and fixed deposits, look at retirement planning or buy insurance products, among other things.

There is, of course, another reason why the big, traditional brokerages are taking this route. Let's look at a few numbers: Did you know that there are more than 1,300 registered brokerages in India, per Sebi, that offer investors a platform to trade in the stock market? A second set of data—again from Sebi—shows that the top 10 broking firms account for nearly half of the trading turnover. In terms of trading volumes, the top